##CRISCb- IT Risk Assessment Practices

###Objectives:
At the end of this episode, I will be able to understand:

1. Once risk is identified, risk assessment and analysis should take place
2. IT risk is a subset of enterprise risk
3. In today's modern enterprise, IT risk heavily influences all areas of overall risk
4. Assessment should look at critical functions, controls in place, and prioritization of risk
5. Risk Assessment Concepts (There are many, but these are exam testable):

- Bow Tie – Provides a diagram to communicate risk assessment results by displaying links between possible causes, controls and consequences. The cause of the event is in the middle of the diagram (the knot) and triggers, controls mitigation strategies all branch off the know

- Delphi Method. Developed back in the 50's. This leverages Expert – Non-Biased opinion. Typically done 2-3 times with a series of questions. Once the round is complete, the results are summarized and given to the experts again. This leads to consensus without bias as nobody knows who the other members are.

- Event Tree – Forward looking, bottom up model that uses inductive reasoning to assess the probability of different events resulting in possible outcomes.

- Fault Tree – Starts with an event and examines possible means for the event to occur (top down) and displays these results in a logical tree diagram. This diagram can be used to generate ways to reduce or eliminate potential causes of the event

- Markov – Used to analyze systems that can exist in multiple states. The Markov model assumes that future events are independent of past events.

- Monte-Carlo – Iterative Random Number generation.

- Structured What If Technique – Uses structured brainstorming to identify risk, typically within a facilitated workshop. It uses prompts and guide words and is typically paired with another risk analysis and evaluation technique.

Additional resources used during the episode can be obtained using the download link on the overview episode.

External Resources:
During this episode, you can reference the following external resources for supplementary tools and information:

http:\www.isaca.org